LANKA ORIX LEASING COMPANY PLC

INTERIM FINANCIAL STATEMENTS

NINE MONTH PERIOD ENDED 31 DECEMBER 2016

Lanka Orix Leasing Company PLC
Interim Financial Statements
For the nine month period ended 31 December 2016

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Lanka Orix Leasing Company PLC
Statement of Financial Position

Group	Company		Group		Company	
31-Mar-16	**31-Mar-16**	*As at*	**31-Dec-16**	**31-Dec-15**	**31-Dec-16**	**31-Dec-15**
Rs.' 000	**Rs.' 000**		**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**
Audited	**Audited**		**Un-audited**	**Un-audited**	**Un-audited**	**Un-audited**
				Restated		
		Assets				
13,725,794	63,407	Cash and cash equivalents	14,833,810	11,513,817	668,604	544,136
2,397,547	420,126	Trading assets - fair value through profit or loss	884,997	1,557,498	609,737	523,384
60,951,440	684,543	Investment securities	62,111,273	23,562,469	548,839	862,490
51,666,748	8,920	Finance lease receivables, hire purchases and operating leases	53,099,885	51,753,199	12,942	-
161,116,017	1,774,112	Advances and other loans	194,122,138	145,498,706	905,100	803,223
801,165	-	Insurance premium receivables	625,095	484,879	-	-
3,645,281	462,760	Inventories	5,187,461	3,893,762	460,536	728,807
1,011,854	178,334	Current tax assets	327,015	321,621	154,285	222,247
10,480,953	16,524,924	Trade and other current assets	11,834,239	10,304,429	29,032,377	22,925,084
742,535	-	Prepaid lease rentals on leasehold properties	802,154	706,813	-	-
9,073,216	353,000	Investment properties	8,371,928	8,899,474	353,000	344,000
		Biological Assets;				
6,150,990	-	Consumable Biological Assets	6,910,827	6,322,038	-	-
4,811,353	-	Bearer Biological Assets	7,265,108	4,484,387	-	-
		Investments in group companies;				
-	42,615,931	Subsidiary companies	-	-	43,515,934	42,315,931
-	-	Jointly controlled entities	219,551	-	-	-
16,493,637	7,816,377	Equity accounted investees - Associates	20,505,991	16,660,270	7,816,377	7,816,377
490,243	80	Deferred tax assets	416,751	429,184	67,010	84,030
2,482,046	210,021	Intangible assets	2,560,154	2,180,873	211,780	127,438
33,553,739	4,381,379	Property, plant and equipment	38,776,617	28,840,059	4,648,073	4,074,784
379,594,558	**75,493,914**	**Total assets**	**428,854,994**	**317,413,478**	**89,004,594**	**81,371,931**
		Liabilities and equity				
		Liabilities				
9,302,310	3,354,589	Bank overdrafts	5,583,453	10,323,173	1,064,198	3,360,221
17,859	-	Trading liabilities - fair value through profit or loss	326,848	71,533	2,147	58
74,165,732	-	Deposits liabilities	90,458,647	71,238,366	-	-
205,774,163	35,014,816	Interest bearing borrowings	227,354,944	148,501,959	48,926,421	41,144,580
1,519,563	-	Insurance provision - life	2,179,481	1,406,569	-	-
2,136,529	-	Insurance provision - general	2,572,014	1,957,027	-	-
2,084,537	322,774	Current tax payables	3,278,425	2,223,235	209,133	24,375
11,572,669	1,115,435	Trade and other payables	17,142,741	12,996,117	2,161,289	1,428,885
3,930,668	-	Deferred tax liabilities	3,917,054	3,160,975	88,554	88,554
651,021	-	Deferred income	655,422	688,141	-	-
2,063,282	184,863	Retirement benefit obligations	2,805,105	2,456,717	205,950	192,707
313,218,333	**39,992,477**	**Total liabilities**	**356,274,134**	**255,023,812**	**52,657,692**	**46,239,380**
		Equity				
475,200	475,200	Stated capital (475,200,000 shares)	475,200	475,200	475,200	475,200
5,436,196	1,653,318	Reserves	5,290,004	5,389,432	1,630,990	1,840,177
31,786,984	33,372,919	Retained earnings	38,722,823	29,700,297	34,240,712	32,817,174
37,698,380	**35,501,437**	**Equity attributable to shareholders of the Company**	**44,488,027**	**35,564,929**	**36,346,902**	**35,132,551**
28,677,845	**-**	**Non-controlling interests**	**28,092,833**	**26,824,737**	**-**	**-**
66,376,225	**35,501,437**	**Total equity**	**72,580,860**	**62,389,666**	**36,346,902**	**35,132,551**
379,594,558	**75,493,914**	**Total liabilities & equity**	**428,854,994**	**317,413,478**	**89,004,594**	**81,371,931**
79.33	**74.71**	**Net assets per share (Rs.)**	**93.62**	**74.84**	**76.49**	**73.93**

I certify that these Financial Statements have been prepared and presented in compliance with the requirements of the Companies Act, No.07 of 2007.

Sgd.
Mrs. S.S. Kotakadeniya
Chief Financial Officer - LOLC Group

The board of directors is responsible for the preparation and the fair presentation of these Financial Statements.
Approved and signed for and on behalf of the Board;

Sgd.
Mrs. K U Amarasinghe
Director

Sgd.
Mr. W.D.K. Jayawardena
Group Managing Director / CEO

15th February 2017, Rajagiriya (Greater Colombo)

Lanka Orix Leasing Company PLC
Statement of Profit or Loss

	Group					
	Three Months Ended			Nine Months Ended		
	31-Dec-16 Rs.' 000	31-Dec-15 Rs.' 000	Variance %	31-Dec-16 Rs.' 000	31-Dec-15 Rs.' 000	Variance %
Gross income	**23,668,106**	**16,571,252**	**43**	**65,125,055**	**47,370,090**	**37**
Interest income	14,064,733	10,048,415	40	38,941,820	27,558,455	41
Interest expense	(8,010,733)	(4,059,271)	97	(21,937,640)	(12,379,914)	77
Net interest income	**6,054,000**	**5,989,144**	**1**	**17,004,180**	**15,178,541**	**12**
Revenue	6,290,599	5,351,834	18	17,543,804	14,605,802	20
Cost of sales	(3,846,377)	(3,662,953)	5	(10,717,893)	(9,863,192)	9
Gross profit	**2,444,222**	**1,688,881**	**45**	**6,825,911**	**4,742,610**	**44**
Income	2,966,507	1,975,321	50	7,809,484	5,499,605	42
Other income/(expenses) (Including net finance cost)	346,267	(804,318)	(143)	829,947	(293,772)	(383)
Profit before operating expenses	**11,810,996**	**8,849,028**	**33**	**32,469,522**	**25,126,984**	**29**
Operating expenses						
VAT on financial services	(501,194)	(236,771)	112	(1,378,515)	(817,545)	69
Other direct expenses excluding finance costs	(1,289,168)	(745,117)	73	(3,728,528)	(2,045,858)	82
Personnel costs	(3,192,258)	(2,147,359)	49	(9,243,521)	(6,323,939)	46
Net impairment (loss) / reversal on financial assets	(550,403)	(836,108)	(34)	(1,986,260)	(2,176,982)	(9)
Depreciation and amortization	(455,684)	(417,047)	9	(1,292,369)	(1,070,787)	21
Other operating expenses	(3,008,221)	(2,062,799)	46	(7,705,170)	(5,670,796)	36
Results from operating activities	**2,814,068**	**2,403,827**	**17**	**7,135,159**	**7,021,077**	**2**
Share of profits of equity accounted investees	1,079,822	1,050,163	3	3,082,179	2,306,809	34
Results on acquisition and divestment of group investments	-	-	-	196,208	-	-
Profit before income tax expense	**3,893,890**	**3,453,990**	**13**	**10,413,546**	**9,327,886**	**12**
Income tax expense	(926,519)	(779,153)	19	(2,460,503)	(2,192,808)	12
Profit for the period	**2,967,371**	**2,674,837**	**11**	**7,953,043**	**7,135,078**	**11**
Profit attributable to;						
Equity holders of the Company	2,794,440	2,214,016	26	7,532,488	6,224,257	21
Non-controlling interests	172,931	460,821	(62)	420,555	910,821	(54)
	2,967,371	**2,674,837**	**11**	**7,953,043**	**7,135,078**	**11**
Basic earnings per share (Rs.)	**5.88**	**4.66**	**26**	**15.85**	**13.10**	**21**

Figures in brackets indicate deductions.
The above figures are not audited

Statement of Other Comprehensive Income

	Group					
	Three Months Ended			Nine Months Ended		
	31-Dec-16 Rs.' 000	31-Dec-15 Rs.' 000	Variance %	31-Dec-16 Rs.' 000	31-Dec-15 Rs.' 000	Variance %
Profit for the period	**2,967,371**	**2,674,837**	**11**	**7,953,043**	**7,135,078**	**11**
Other comprehensive income						
Net change in fair value of available-for-sale financial assets	(164,351)	(17,224)	854	(12,876)	(20,788)	(38)
Net movement of cash flow hedges	(77,697)	33,629	(331)	(328,610)	115,378	(385)
Effect on translation differences for foreign operations	132,337	137,191	(4)	115,054	329,745	(65)
Other comprehensive income/ (expense) for the period, net of tax	**(109,711)**	**153,596**	**(171)**	**(226,432)**	**424,335**	**(153)**
Total comprehensive income / (expense) for the period	**2,857,660**	**2,828,433**	**1**	**7,726,611**	**7,559,413**	**2**
Total comprehensive income / (expense) attributable to;						
Equity holders of the Company	2,595,289	2,299,328	13	7,245,950	6,509,827	11
Non-controlling interests	262,371	529,105	(50)	480,661	1,049,586	(54)
Total comprehensive income / (expense) for the period	**2,857,660**	**2,828,433**	**1**	**7,726,611**	**7,559,413**	**2**

Figures in brackets indicate deductions.
The above figures are not audited

Lanka Orix Leasing Company PLC
Statement of Profit or Loss

	Company					
	Three Months Ended			Nine Months Ended		
	31-Dec-16 Rs.' 000	31-Dec-15 Rs.' 000	Variance %	31-Dec-16 Rs.' 000	31-Dec-15 Rs.' 000	Variance %
Gross income	**2,076,703**	**1,111,223**	**87**	**5,624,027**	**2,977,500**	**89**
Interest income	1,118,544	553,120	102	2,614,177	1,316,406	99
Interest expense	(1,442,081)	(855,972)	68	(3,731,876)	(2,218,897)	68
Net interest income	**(323,537)**	**(302,852)**	**171**	**(1,117,699)**	**(902,491)**	**167**
Income	42,433	44,259	(4)	63,163	61,270	3
Other income/(expenses)	915,726	513,844	78	2,946,687	1,599,824	84
Profit before operating expenses	**634,622**	**255,251**	**149**	**1,892,151**	**758,603**	**149**
Operating expenses						
VAT on financial services	(6,551)	(17,019)	(62)	(48,180)	(32,988)	46
Other direct expenses excluding finance costs	(34,027)	(20,726)	64	(34,027)	(20,726)	64
Personnel costs	(46,179)	(35,069)	32	(202,034)	(103,005)	96
Net impairment (loss) / reversal on financial assets	1,888	16	11,700	3,544	(387)	(1,016)
Depreciation and amortization	(99,295)	(82,570)	20	(281,509)	(228,374)	23
Other operating expenses	(66,625)	3,950	(1,787)	(224,167)	(138,673)	62
Profit before income tax expense	**383,833**	**103,833**	**270**	**1,105,778**	**234,450**	**372**
Income tax expense	(101,468)	(65,646)	55	(237,985)	(65,646)	263
Profit for the period	**282,365**	**38,187**	**639**	**867,793**	**168,804**	**414**
Profit attributable to;						
Equity holders of the Company	282,365	38,187	639	867,793	168,804	414
Non-controlling interests	-	-	-	-	-	-
	282,365	**38,187**	**639**	**867,793**	**168,804**	**414**
Basic earnings per share (Rs.)	**0.59**	**0.08**	**639**	**1.83**	**0.36**	**414**

Figures in brackets indicate deductions.
The above figures are not audited

Statement of Other Comprehensive Income

	Company					
	Three Months Ended			Nine Months Ended		
	31-Dec-16 Rs.' 000	31-Dec-15 Rs.' 000	Variance %	31-Dec-16 Rs.' 000	31-Dec-15 Rs.' 000	Variance %
Profit for the period	**282,365**	**38,187**	**639**	**867,793**	**168,804**	**414**
Other comprehensive income						
Net change in fair value of available-for-sale financial assets	(66,013)	10,679	(718)	(22,328)	68,925	(132)
Net movement of cash flow hedges	-	-	-	-	(1,546)	(100)
Other comprehensive income/ (expense) for the period, net of tax	**(66,013)**	**10,679**	**(718)**	**(22,328)**	**67,379**	**(133)**
Total comprehensive income / (expense) for the period	**216,352**	**48,866**	**343**	**845,465**	**236,183**	**258**
Total comprehensive income / (expense) attributable to;						
Equity holders of the Company	216,352	48,866	343	845,465	236,183	258
Non-controlling interests	-	-	-	-	-	-
Total comprehensive income / (expense) for the period	**216,352**	**48,866**	**343**	**845,465**	**236,183**	**258**

Figures in brackets indicate deductions.
The above figures are not audited

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the nine month period ended 31 December 2016

	Equity attributable to the shareholders of the Company						
Company	**Stated Capital**	**Revaluation Reserve**	**Cash flow hedge Reserve**	**Fair Value Reserve on AFS**	**Future Taxation Reserve**	**Retained Earnings**	**Total**
	Rs.' 000	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**
Balance as at 01 April 2015	**475,200**	**1,300,116**	**719**	**266,963**	**205,000**	**32,648,370**	**34,896,368**
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	168,804	**168,804**
Other comprehensive income							
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	-	68,925	-	-	**68,925**
Net movement of cash flow hedges	-	-	(1,546)	-	-	-	**(1,546)**
Total comprehensive income for the period	-	-	(1,546)	68,925	-	168,804	**236,183**
Balance as at 31 December 2015	**475,200**	**1,300,116**	**(827)**	**335,888**	**205,000**	**32,817,174**	**35,132,551**
Balance as at 01 April 2016	**475,200**	**1,283,286**	**-**	**165,032**	**205,000**	**33,372,919**	**35,501,437**
Total comprehensive income for the period							
Profit for the period	-	-	-	-	-	867,793	**867,793**
Other comprehensive income							
Net change in fair value of available-for-sale financial assets (net of tax)	-	-	-	(22,328)	-	-	**(22,328)**
Net movement of cash flow hedges	-	-	-	-	-	-	**-**
Total comprehensive income for the period	**-**	**-**	**-**	**(22,328)**	**-**	**867,793**	**845,465**
Balance as at 31 December 2016	**475,200**	**1,283,286**	**-**	**142,704**	**205,000**	**34,240,712**	**36,346,902**

Figures in brackets indicate deductions.
The above figures are not audited

Lanka Orix Leasing Company PLC
Statement of Changes in Equity
For the nine month period ended 31 December 2016

	Equity Attributable to the Owners of the Company										
Group	**Stated Capital**	**Revaluation Reserve**	**Cash flow hedge Reserve**	**Fair Value Reserve on AFS**	**Translation Reserve**	**Future Taxation Reserve**	**Statutory Reserve Fund**	**Retained Earnings**	**Total**	**Non-controlling Interests**	**Total Equity**
	Rs.' 000	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**	**Rs.' 000**
Balance as at 01 April 2015	**475,200**	**2,932,414**	**(102,894)**	**244,963**	**327,120**	**205,000**	**1,697,783**	**22,628,495**	**28,408,081**	**27,439,709**	**55,847,790**
Total comprehensive income for the period											
Profit for the period	-	-	-	-	-	-	-	6,224,257	**6,224,257**	910,821	**7,135,078**
Other comprehensive income											
Net change in fair value of available-for-sale financial assets	-	-	-	(14,542)	-	-	-	-	**(14,542)**	(6,246)	**(20,788)**
Net movement of cash flow hedges	-	-	128,479	-	-	-	-	-	**128,479**	(13,101)	**115,378**
Effect on translation differences for foreign operations	-	-	-	-	171,633	-	-	-	**171,633**	158,112	**329,745**
Total comprehensive income for the period	**-**	**-**	**128,479**	**(14,542)**	**171,633**	**-**	**-**	**6,224,257**	**6,509,827**	**1,049,586**	**7,559,413**
Reserve transfers	-	(240)	-	-	-	-	(200,284)	200,524	**-**	-	**-**
Dividends paid during the period	-	-	-	-	-	-	-	-	**-**	(186,734)	**(186,734)**
Dividend forfeited	-	-	-	-	-	-	-	3,676	**3,676**	33	**3,709**
Acquisition of non-controlling interests	-	-	-	-	-	-	-		**-**	601,257	**601,257**
Adjustments due to changes in group holdings and other consolidation adjustments	-	-	-	-	-	-	-	643,345	**643,345**	(2,079,114)	**(1,435,769)**
Balance as at 31 December 2015	**475,200**	**2,932,174**	**25,585**	**230,421**	**498,753**	**205,000**	**1,497,499**	**29,700,297**	**35,564,929**	**26,824,737**	**62,389,666**
								-		**-**	**-**
Balance as at 01 April 2016	**475,200**	**3,434,185**	**218,241**	**(1,105,365)**	**929,777**	**205,000**	**1,754,358**	**31,786,984**	**37,698,380**	**28,677,845**	**66,376,225**
Total comprehensive income for the period											
Profit for the period	-	-	-	-	-	-	-	7,532,488	**7,532,488**	420,555	**7,953,043**
Other comprehensive income											
Net change in fair value of available-for-sale financial assets	-	-	-	(17,807)	-	-	-	-	**(17,807)**	4,931	**(12,876)**
Net movement of cash flow hedges	-	-	(273,251)	-	-	-	-	-	**(273,251)**	(55,359)	**(328,610)**
Effect on translation differences for foreign operations	-	-	-	-	4,520	-	-	-	**4,520**	110,534	**115,054**
Depreciation transfer on revaluation	-	(206)	-	-	-	-	-	206	**-**	-	**-**
Total comprehensive income for the period	**-**	**(206)**	**(273,251)**	**(17,807)**	**4,520**	**-**	**-**	**7,532,694**	**7,245,950**	**480,661**	**7,726,611**
						-					
Reserve transfers	-	-	-	-	-	-	140,552	(140,552)	**-**	-	**-**
Dividends paid to non-controlling interests	-	-	-	-	-	-	-	-	**-**	(218,650)	**(218,650)**
Acquisition of non-controlling interests	-	-	-	-	-	-	-	-	**-**	103,193	**103,193**
Adjustments due to changes in group holdings and other consolidation adjustments	-		-	-	-	-	-	(456,303)	**(456,303)**	(560,943)	**(1,017,246)**
Disposal of Subsidiary	-	-	-	-	-	-	-	-	**-**	(389,273)	**(389,273)**
Balance as at 31 December 2016	**475,200**	**3,433,979**	**(55,010)**	**(1,123,172)**	**934,297**	**205,000**	**1,894,910**	**38,722,823**	**44,488,027**	**28,092,833**	**72,580,860**

Figures in brackets indicate deductions.
The above figures are not audited

Lanka Orix Leasing Company PLC
Statement of Cash Flows

For the nine month period ended 31 December	Group 2016 Rs.' 000	Group 2015 Rs.' 000	Company 2016 Rs.' 000	Company 2015 Rs.' 000
CASH FLOW FROM OPERATING ACTIVITIES				
Profit before income tax expense	10,413,546	9,327,886	1,105,778	234,450
Adjustment for:				
(Gain) / loss on sale of property, plant and equipment	(21,582)	(121,252)	(19,462)	(113,351)
Depreciation and amortization	1,292,369	1,070,787	281,509	228,374
Insurance provision	1,095,403	993,087	25,200	-
Change in fair value of forward contracts	144,547	(91,616)	(3,544)	-
Provision for gratuity	310,504	142,393	(41,312)	22,500
Net impairment (loss) / reversal on financial assets	1,986,260	2,176,982	-	387
Provision for fall/(increase) in value of investments	(159,898)	(24,601)	(194,825)	(14,855)
Investment Income	(29,554)	-	3,731,876	-
Finance costs	21,937,640	13,466,277	-	2,218,897
Interest income	(2,829,523)	(1,279,560)	-	(109,309)
(Profit)/loss on sale of quoted and non-quoted shares	1,294	(9,056)	-	1,654
Share of profits of equity accounted investees	(3,082,179)	(2,306,809)	-	-
Results on acquisition and divestment of Group investment	(196,208)	4,865	7,538	-
Transaction cost on acquisition of subsidiaries	2,166	(144,423)	-	-
Operating profit before working capital changes	**30,864,785**	**23,204,960**	**4,892,758**	**2,468,747**
Working capital changes				
Increase/(decrease) in trade and other payables	4,027,201	4,982,981	807,806	(1,061,909)
(Increase)/decrease in investment in leases, hire purchase and others	(1,885,728)	(11,141,693)	(1,837)	-
(Increase)/decrease in investment in advances and other loans	(34,539,790)	(48,426,769)	853,718	438,772
(Increase)/decrease in premium receivables	176,070	117,220	-	-
(Increase)/decrease in inventories	(1,348,251)	(2,060,090)	2,224	(718,557)
(Increase)/decrease in trade and other receivables	(569,845)	(263,801)	(13,399,953)	(17,371,049)
Increase/(decrease) in customer deposits	16,292,915	20,651,127	-	-
Cash generated from operations	**13,017,357**	**(12,936,065)**	**(6,845,284)**	**(16,243,996)**
Finance cost paid	(20,221,415)	(10,287,165)	(3,579,064)	(2,179,428)
Income tax and Economic Service Charge paid	(903,708)	(1,101,099)	(61,661)	(1,525)
Defined benefit plan costs paid	(167,863)	(203,425)	(4,113)	(4,308)
Net cash from/(used in) operating activities	**(8,275,629)**	**(24,527,754)**	**(10,490,122)**	**(18,429,257)**
CASH FLOW FROM INVESTING ACTIVITIES				
Investment in subsidiary companies	-	-	-	(200,003)
Net cash and cash equivalents on acquisition of subsidiary	(359,571)	(397,732)	-	-
Net cash and cash equivalents received on disposal of subsidiary	506,520	4,740	(7,503)	-
Investment in equity accounted investees	(1,167,037)	(276,534)	-	(166,172)
Proceeds from disposal of equity accounted investees	-	1,103,230	-	-
Acquisition of non-controlling interests	(1,084,807)	(1,408,734)	-	-
Acquisition of property, plant and equipment and leasehold rights	(5,723,961)	(3,161,349)	(543,337)	(559,647)
Acquisition / (Disposal) of intangible assets	(104,953)	(9,428)	(68,690)	-
Net additions to trading assets	1,733,119	(417,400)	-	4,759
Net additions to investment securities	(1,172,709)	(5,280,994)	(18,255)	(111,595)
Proceeds from the sale of property, plant and equipment	84,602	212,076	77,720	179,390
Interest received	2,829,523	1,279,560	-	-
Dividend received	286,392	126,102	194,825	109,309
Net additions to biological assets	(522,079)	(136,318)	-	-
Net cash flow from investing activities	**(4,694,961)**	**(8,362,781)**	**(365,240)**	**(743,959)**
CASH FLOW FROM FINANCING ACTIVITIES				
Net cash proceeds from short-term interest bearing borrowings	26,053,514	43,581,158	15,125,731	18,683,371
Repayments of long-term interest bearing loans and borrowings	(8,076,951)	(11,374,087)	(1,350,577)	(2,201,173)
Dividends paid to non-controlling interests	(218,650)	(186,734)	-	-
NCI contributions to share issue of subsidiaries	39,550	245,000	-	-
Net cash generated from financing activities	**17,797,463**	**32,265,337**	**13,775,154**	**16,482,198**
Net increase/(decrease) in cash and cash equivalents during the period	4,826,873	(625,198)	2,919,792	(2,691,018)
Cash and cash equivalents at the beginning of the period	4,423,484	1,815,842	(3,315,386)	(125,067)
Cash and cash equivalents at the end of the period	**9,250,357**	**1,190,644**	**(395,594)**	**(2,816,085)**
Analysis of cash and cash equivalents at the end of the period				
Cash in Hand and Favorable Bank Balances	14,833,810	11,513,817	668,604	544,136
Unfavorable Bank Balances used for cash management purposes	(5,583,453)	(10,323,173)	(1,064,198)	(3,360,221)
	9,250,357	**1,190,644**	**(395,594)**	**(2,816,085)**

Figures in brackets indicate deductions.
The above figures are not audited

1 The Statement of Financial Position as at 31 December 2016, Income Statement, Statement of Comprehensive Income, Statement of Cash Flows and Statement of Changes in Equity of the Company and the Group for the nine month period ended thereof are drawn up from unaudited financial statements of the Company, its subsidiaries, associates and joint ventures and provide information as required by the Colombo Stock Exchange and LKAS 34. Further, provisions of the Companies Act No.7 of 2007 has been considered in preparing the said financial statements of the Company and of the Group.

2 Accounting policies and methods of computation as stated in the Financial Statements for 2015/16 are followed in the preparation of these Interim Financial Statements.

3 Revenue includes revenue from trading, manufacturing, leisure, plantation and other activities of the Group.

4 Interest income and income represent the income receivable for the period on all contracts, rentals on operating leases, income on factoring of client debtors, earned premium on insurance contracts and IT service fees. It includes all income related to operations such as interest on overdue rentals, profit/loss on leases and loans terminated and collections on contracts written off.

5 Other income / (expenses) includes foreign exchange gains / (losses), realized capital gains, capital gains and losses arising from marked to market valuation of quoted shares held for trading purposes, rent income and dividend.

6 All expenses related to management expenditure is fully provided for in the financial statements.

7 There are no significant changes in the nature of the contingent liabilities disclosed in the Financial Statements for the year ended 31 March 2016.

8 Acquisition of Agalawatte Plantations PLC

In July 2016, Browns Power Holdings (Pvt) Ltd, a subsidiary of the Group acquired the controlling interest of Agalawatte Plantations PLC (APL) by purchasing 15.2 Mn voting shares (60.80%) for a consideration of Rs. 304 Mn.
By a letter dated 28th September 2016, The Sri Lanka Accounting and Auditing Standard Monitoring Board (SLAASMB) has issued a direction to the Board of Directors of APL to re-audit the published financial statements of the company for the year ended 31st December 2014 by virtue of power vested with the SLAASMB under sub section (2) of section 28 of A Sri Lanka Accounting and Auditing Standard Act No. 15 of 1995.

The current management is of the view that the re-audited financial statements will be significantly different from the already published financials for the year 2014 and the subsequent periods. As a result the goodwill on acquisition could be significantly different from the provisional calculation below.

The provisional fair values of the identifiable assets and liabilities of the acquiree (based on un-audited financial statements) as at the date of acquisition were;

	Rs. Mn
Assets	
Cash and cash equivalents	11.32
Investment securities	8.06
Trade and other current assets	339.81
Inventories	202.09
Long term investments	335.69
Biological Assets	3,479.07
Property, plant and equipment	248.44
	4,624.47
Liabilities	
Bank overdrafts	72.78
Trade and other payables	1,620.13
Borrowings	1,935.89
Retirement benefit obligations	602.76
	4,231.56
Fair value of Identifiable net assets acquired	**392.90**

Goodwill recognized as a result of the acquisitions are as follows;

Fair value of consideration paid	304.00
Non-controlling interests acquired	103.19
	407.19
Fair value of Identifiable net assets acquired	392.90
Resulting goodwill/ (Gain on bargain purchase)	**14.29**

9 No circumstances have arisen since the reporting date, which would require adjustments to or disclosure in the financial statements other than disclosed as follows.

LOLC Group entered into a shareholder agreement entered on 03 February, 2017, to acquire 50.1 per cent equity stake with controlling interest in Pak Oman Microfinance Bank Ltd (POMB) by way of a primary issuance of shares by POMB.

POMB is a Pakistan-based microfinance company promoted by the Oman government (with a 67 per cent shareholding) and Pak Oman Investment Co, a joint venture between the governments of Pakistan and the sultanate (with a 33 per cent holding).

10 Market prices of ordinary shares recorded during the quarter ended 31st December 2016 are as follows;

	Rs.
Closing price	72.50
Highest Price (10th October 2016)	83.90
Lowest Price (16th December 2016)	72.50

11 Information on Company's listed debentures

11.1 Interest rate of comparable government security

Buying and Selling prices of Treasury Bonds of the bond market as at 30 December 2016

	Buying	Selling
4 Year Bond		
Price	97.63	97.80
Yield - %	10.71	1052.00%
5 Year Bond		
Price	96.42	96.62
Yield - %	11.28	11.13

11.2 Market prices and yield during the period (ex interest)

	4 Year Bond	5 Year Bond
Price	97.72	96.52
Yield - %	10.62	11.21

		Current period
Yield to maturity of trade done on 28 December 2016		12.01
Debt to equity	1.45	times
Interest cover	1.30	times
Quick asset ratio	8.86	times

11.3 The market prices during the period (ex interest)

Highest price	89.35
Lowest price	87.91
Last traded price	89.35

12 Backed to backed deposits details

	As at 31 December 2016
	Rs. '000
Back to back deposits on foreign funding	29,228,786
Interest income earned on back to back deposits	811,244

13 Group Portfolio information

	As at 31 December 2016
	Rs. '000
Gross portfolio	252,925,363
Non-performing portfolio > 6 months	6,254,349
Allowance for non-performing portfolio	5,703,340

Lanka Orix Leasing Company PLC
Operating Segments

For the nine month period ended 31 December 2016	Financial Services	Long term & General Insurance	Manufacturing & Trading	Leisure & Entertainment	Plantation & Hydro power	Equity Accounted Investees	Others / Eliminations	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Gross income	51,387,435	4,088,879	12,736,049	1,093,391	5,690,269	-	(9,870,968)	**65,125,055**
Net interest cost	(24,857,890)	-	(884,259)	(594,807)	(545,725)	-	4,945,041	**(21,937,640)**
Cost of sales	-	-	(9,003,704)	(250,364)	(1,467,190)	-	3,365	**(10,717,893)**
Profit before operating expenses	**26,529,545**	**4,088,879**	**2,848,086**	**248,220**	**3,677,354**	**-**	**(4,922,562)**	**32,469,522**
Operating expenses	(18,152,616)	(3,856,616)	(2,855,156)	(928,652)	(3,483,563)	-	3,942,240	**(25,334,363)**
Results from operating activities	**8,376,929**	**232,263**	**(7,070)**	**(680,432)**	**193,791**	**-**	**(980,322)**	**7,135,159**
Share of profits of equity accounted investees	-	-	-	-	-	3,082,179	-	**3,082,179**
Results of Acquisition/ Divestment of Group Investment	-	-	-	-	-	-	196,208	**196,208**
Profit before taxation	**8,376,929**	**232,263**	**(7,070)**	**(680,432)**	**193,791**	**3,082,179**	**(784,114)**	**10,413,546**
For the nine month period ended 31 December 2015								
Gross income	34,388,383	2,713,650	10,487,201	795,325	4,293,007	-	(5,307,476)	47,370,090
Net interest cost	(13,715,007)	-	(563,477)	(296,629)	(226,257)	-	2,421,456	(12,379,914)
Cost of sales	-	-	(7,342,374)	(253,713)	(2,267,977)	-	872	(9,863,192)
Profit before operating expenses	20,673,376	2,713,650	2,581,350	244,983	1,798,773	-	(2,885,148)	25,126,984
Operating expenses	(13,088,809)	(2,854,232)	(2,208,094)	(721,913)	(1,968,279)	-	2,735,420	(18,105,907)
Results from operating activities	7,584,567	(140,582)	373,256	(476,930)	(169,506)	-	(149,728)	7,021,077
Share of profits of equity accounted investees	-	-	-	-	-	2,306,809	-	2,306,809
Profit before taxation	7,584,567	(140,582)	373,256	(476,930)	(169,506)	2,306,809	(149,728)	9,327,886

For the nine month period ended 31 December 2016	Financial Services	Long term & General Insurance	Manufacturing & Trading	Leisure & Entertainment	Plantation & Hydro power	Equity Accounted Investees	Others / Eliminations	Total
	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000	Rs.' 000
Net impairment (loss) / reversal on financial assets	1,986,260	-	-	-	-	-	-	**1,986,260**
Depreciation and amortization	585,910	36,679	198,729	205,357	255,357	-	10,337	**1,292,369**
Total assets (as at 31 December 2016)	403,445,666	8,427,919	30,414,975	32,199,906	24,311,240	-	(69,944,712)	**428,854,994**
Total liabilities (as at 31 December 2016)	347,737,995	5,781,893	14,932,267	11,518,407	13,798,132	-	(37,494,560)	**356,274,134**
For the nine month period ended 31 December 2015								
Net impairment (loss) / reversal on financial assets	2,176,982	-	-	-	-	-	-	**2,176,982**
Depreciation and amortization	384,631	33,862	213,240	198,109	173,600	-	67,345	**1,070,787**
Total assets (as at 31 December 2015)	302,179,776	6,455,789	26,288,707	22,535,558	19,501,149	-	(59,547,501)	**317,413,478**
Total liabilities (as at 31 December 2015)	254,813,260	3,994,478	13,270,839	6,483,194	7,234,139	-	(30,772,098)	**255,023,812**

Lanka Orix Leasing Company PLC
Valuation of Financial Assets and Liabilities

Rs'000

As at 31 December 2016 - Group	Fair value - derivatives	Fair value - held for trading	Fair value through other comprehensive income - available for sale	Amortised cost / Not measured at fair value	Total carrying amount	Fair value	Fair value measurement level
Trading assets - fair value through profit or loss	-	884,997	-	-	**884,997**	**884,997**	Level 1 and Level 2
Investment securities	-	-	7,888,487	54,222,786	**62,111,273**	**62,111,273**	Level 1 and Level 2
Finance lease receivables, hire purchases and operating leases	-	-	-	53,099,885	**53,099,885**	**52,547,646**	Level 3
Advances and other loans	-	-	-	194,122,138	**194,122,138**	**193,996,541**	Level 3
Total financial assets	**-**	**884,997**	**7,888,487**	**301,444,809**	**310,218,293**	**309,540,457**	
Trading liabilities - fair value through profit or loss	326,848	-	-	-	**326,848**	**326,848**	Level 1
Deposits liabilities	-	-	-	90,458,647	**90,458,647**	**91,001,399**	Level 3
Interest bearing borrowings	-	-	-	227,354,944	**227,354,944**	**228,719,074**	Level 3
Total financial liabilities	**326,848**	**-**	**-**	**317,813,591**	**318,140,439**	**320,047,321**	

Rs'000

As at 31st March 2016 - Group	Fair value - derivatives	Fair value - held for trading	Fair value through other comprehensive income - available for sale	Amortised cost / Not measured at fair value	Total carrying amount	Fair value	Fair value measurement level
Trading assets - fair value through profit or loss	-	2,397,547	-	-	**2,397,547**	**2,397,547**	Level 1 and Level 2
Investment securities	-	-	11,092,834	49,858,606	**60,951,440**	**59,332,190**	Level 1 and Level 2
Finance lease receivables, hire purchases and operating leases	-	-	-	51,666,748	**51,666,748**	**51,056,981**	Level 3
Advances and other loans	-	-	-	161,116,017	**161,116,017**	**161,486,583**	Level 3
Total financial assets	**-**	**2,397,547**	**11,092,834**	**262,641,371**	**276,131,752**	**274,273,301**	
Trading liabilities - fair value through profit or loss	17,859	-	-	-	**17,859**	**17,859**	Level 1
Deposits liabilities	-	-	-	74,165,732	**74,165,732**	**72,562,994**	Level 3
Interest bearing borrowings	-	-	-	205,774,163	**205,774,163**	**204,361,672**	Level 3
Total financial liabilities	**17,859**	**-**	**-**	**279,939,895**	**279,957,754**	**276,942,525**	

For the cash and cash equivalents, short term receivables and payables, the fair value reasonably approximates its costs.

Lanka Orix Leasing Company PLC

Statement of Directors' holding and Chief Executive Officer's holding in shares of the Entity as at 31 December 2016

Directors Name	No of shares	%
Mr. R M Nanayakkara *Chairman*	172,492,292	36.299
Mr. I C Nanayakkara *Deputy Chairman (Also Alternate Director to Mr R M Nananayakkara)*	59,895,500	12.604
Mr. W D K Jayawardena *Group Managing Director / CEO*	-	-
Mrs. K U Amarasinghe	23,760,000	5.000
Deshamanya M D D Peiris	-	-
Mr. R A Fernando	12,600	0.003
Mr. H Yamaguchi	-	-
Mr. H Nishio	-	-
Mr. K Okuno *Alternate Director to H Nishio*	-	-
Mr. Takehisa Kaneda *Alternate Director to H Yamaguchi*		

Top 20 shareholders as at 31 December 2016

	Shareholder	No. of Shares	% of Issued Capital
1	Mr. R M Nanayakkara	172,492,292	36.299
2	Orix Corporation	142,560,000	30.000
3	Mr. I C Nanayakkara	59,895,500	12.604
4	Mrs. K U Amarasinghe	23,760,000	5.000
5	Employees Provident Fund	15,182,259	3.195
6	HSBC Intl Nom Ltd - BBH - Mathews International Funds	12,121,473	2.551
7	Renaissance Capital (Private) Limited	8,671,625	1.825
8	HSBC Intl Nom Ltd - State Street Luxembourg C/O SSBT-ABN AMRO MULTI - MANAGER FUND	6,937,775	1.460
9	Mrs. I Nanayakkara	2,827,948	0.595
10	Employees Trust Fund Board	2,740,493	0.577
11	HSBC - Mr. R C De Silva	1,150,000	0.242
12	Mr. G G Ponnambalam	1,044,960	0.220
13	Dr. M Ponnambalam	1,044,960	0.220
14	Swasthika Mills LTD	1,006,800	0.212
15	Mrs. S N Fernando	818,440	0.172
16	National Savings Bank	606,900	0.128
17	CONFIFI Management Services Ltd	600,000	0.126
18	HSBC Intl Nom Ltd - BBH - Mathews Emerging Asia Fund	573,466	0.121
19	Mr. G C Goonetileke	525,000	0.110
20	Mr. R C De Silva	510,000	0.107
		455,069,891	**95.764**

The Public Shareholding as at 31 December 2016 was 15.499 % comprising of 3,101 shareholders.